

The chart reveals that the trailing SL has not been hit anywhere, and we can exit at the EOD.

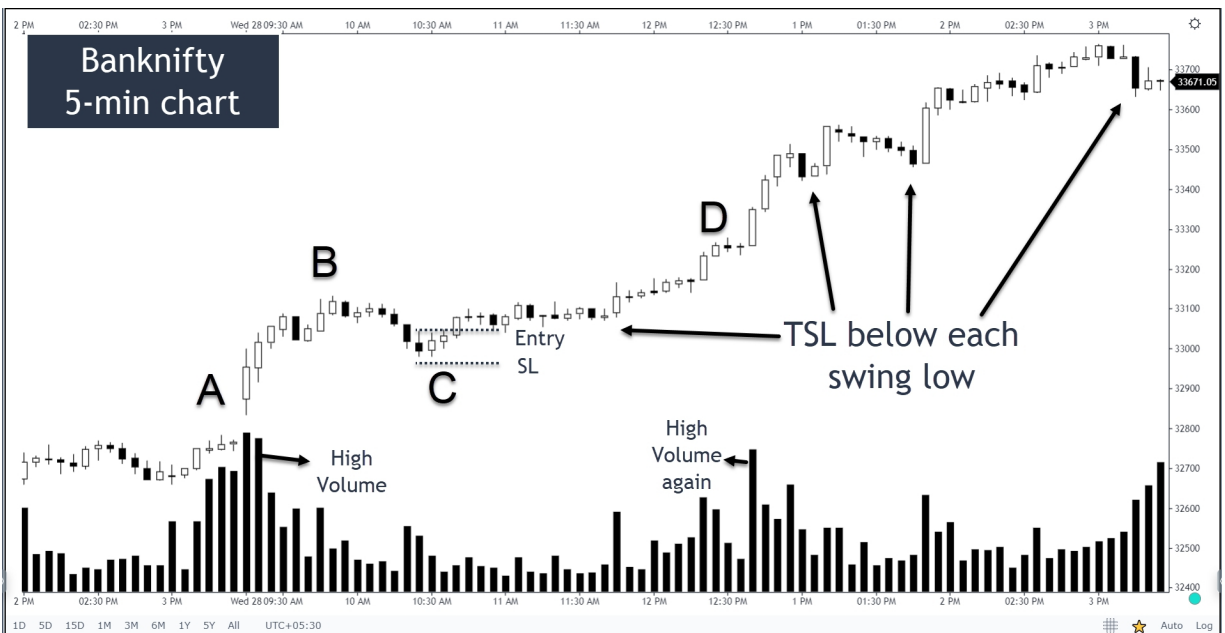


Image 5.25 – ABCD Intraday Trade in Banknifty

The above image shows another example for ABCD pattern trade in Banknifty.

The price opened with a small gap and witnessed good volume for the first two candles (A). It rallied upwards (B) and displayed a pullback (C) due to profit booking.

This is the best time to opt for a long trade. Later the price broke the B level, and immediately it showed volume spikes once again. It confirms bulls are in control for the day.

Hence, we can trail SL below every swing low. In the above case, the price has not hit our stop-loss and showed an EOD close.

In the same manner, we can also look for short trades. The only difference is that after forming 'B', the price may not show a decent bounce to 'C' (compared to the long trade).